

uncertain long-term viability. In today's economy, they are less likely to be hidden gems than deeply troubled enterprises.

Meanwhile, the ideas and tools for analyzing companies have been dramatically expanded. Investors—whether individuals or institutions—no longer depend on a slide rule or rudimentary calculator; they can rely on powerful Bloomberg terminals and desktop computers. Analyzing a company solely by its published financial statements confers no evident edge. To invest successfully amid deep-pocketed and technologically enabled competitors, investors must have an approach involving some sort of differentiated view or unique sourcing capability, and analyzing corporate balance sheets is unlikely to provide unique insights. Similarly, running a screen to identify companies trading below apparent liquidation value confers no apparent edge, because everyone can do that, and as a result, stocks don't often become and stay egregiously mispriced the way they may have many decades ago.

WHERE BALANCE SHEET ANALYSIS FALLS SHORT

A company is much more than the numbers on its financial statements. These days, the volume of public information and the analytical tools available to assess that information are truly extraordinary. Legions of Wall Street analysts focus intensely on the quality of businesses. They have developed sophisticated, albeit far from perfect, models for projecting near-term growth, profit margins, and cash flows. Managements are no longer inaccessible, nor can they speak only to favored shareholders. Indeed, most CEOs and CFOs of publicly traded companies hold quarterly earnings calls with shareholders, provide forecasts, and offer in-depth investor days. They also go on road shows to meet with investors in advance of large secondary offerings, spin-offs, and IPOs. Meanwhile, investment analysts use “expert networks” to gain insights into a company, its